

Completed acquisition by WD-40 Company Limited of the business and assets of GT 85 Limited

ME/6494-14

The CMA's decision on reference under section 22(1) of the Enterprise Act 2002 given on 3 February 2015. Full text of the decision published on 16 February 2015.

Please note that [X] indicates figures or text which have been deleted or replaced in ranges at the request of the parties for reasons of commercial confidentiality.

SUMMARY

1. On 4 September 2014, WD-40 Company Limited (**WD-40 UK**) acquired the business and assets of GT 85 Limited (**GT85**) (the **Merger**). WD-40 UK and GT85 are together referred to as the **Parties**.
2. The Competition and Markets Authority (**CMA**) considers that the Parties have ceased to be distinct and that the share of supply test is met. The four-month period for a decision, as extended, has not yet expired. The CMA therefore considers that a relevant merger situation has been created.
3. The Parties overlap in the wholesale supply of maintenance products in the UK. WD-40 UK supplies multi-purpose and speciality maintenance products under the brands WD-40 and 3-IN-ONE, and GT85 supplies multi-purpose maintenance products under the GT85 and SG85 brands.
4. Based on the evidence it has received, the CMA considers that competitive conditions vary depending on whether the Parties are selling maintenance products for bike, automotive or industrial uses. Within the bike segment, some bike users may view multi-purpose and function-specific maintenance products as substitutes given that both may be used to fulfil the same maintenance function.
5. The CMA has therefore assessed the impact of the Merger in the markets for the wholesale supply of multi-purpose maintenance products for (i) bike uses in the UK; (ii) automotive uses in the UK; and (iii) industrial uses in the UK, as

well as the wholesale supply of multi-purpose and function-specific maintenance products (taken together) for bike uses in the UK.

6. With regard to the wholesale supply of multi-purpose maintenance products for bike uses in the UK, although the CMA estimates that the Parties have a significant combined share of supply of [65–75]%, the increment is small, at [0–10]%. On balance, the CMA considers that the Parties' internal documents and third party comments indicate that the Parties are not close competitors in this area, and that there are numerous other competing multi-purpose bike maintenance products in the market to constrain the Parties post-Merger.
7. In the wholesale supply of multi-purpose and function-specific maintenance products (taken together) for bike uses in the UK, the CMA estimates that the Parties have a considerably lower combined share of supply of around [10– 20]%, with a small increment of [0–10]%. Evidence the CMA received during its investigation indicates that competition between the Parties is limited in this area, and that there are a number of alternative competing function-specific bike maintenance product ranges on the market.
8. The CMA considers that GT85 is a weak constraint on WD-40 UK in the areas of the supply of multi-purpose maintenance products for automotive uses and for industrial uses, as only 13% and 9% of its approximately £1.1million sales are being made into the 'automotive' sales channel and 'industrial' sales channel respectively, according to data provided by WD-40 UK. Third parties did not consider that WD-40 and GT85 were close competitors with regard to automotive use, and although responses were mixed with regard to how closely the Parties compete in the supply of multi-purpose maintenance products for industrial uses, third party responses indicated that customers in the automotive and industrial channels stocked alternative products to the Parties' products.
9. The CMA considers that these constraints, taken together, are sufficient to ensure that the Merger does not give rise to a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects.
10. The Merger will therefore **not be referred** under section 22(1) of the Enterprise Act 2002 (the **Act**).

ASSESSMENT

Parties

11. WD-40 UK is the UK subsidiary of WD-40 Company, a global marketing organisation headquartered in the USA. WD-40 UK supplies and markets multi-purpose and speciality maintenance products under the core brands

WD-40 and 3-IN-ONE, as well as carpet and household cleaners and fresheners under the core brand 1001. WD-40 UK's 2014 turnover was approximately £17.1 million in the UK.

12. GT85 is engaged in the marketing and sale of the multi-purpose maintenance product brands GT85 and SG85. GT85's 2013 turnover was approximately £1.1 million in the UK.

Transaction

13. On 4 September 2014, WD-40 UK, GT85 and [REDACTED], entered into an asset purchase agreement. WD-40 UK acquired assets¹ used by GT85 in carrying out its business prior to the Merger, and assumed certain specified liabilities, with a view to WD-40 UK carrying on that business from completion as a going concern in succession to GT85. This transaction completed on 4 September 2014.

Jurisdiction

14. As a result of the Merger, the enterprises of WD-40 UK and GT85 have ceased to be distinct.
15. When applying the share of supply test, the Act provides the CMA with a wide discretion in describing the relevant goods or services with respect to which the Parties overlap, requiring only that, in relation to that description, the Parties' share of supply or acquisition is 25% or more.²
16. The Parties overlap in the supply of multi-purpose maintenance products in the UK, meaning products used to perform multiple maintenance functions such as cleaning, removing rust, degreasing, penetrating, polishing, lubricating, protecting and displacing water. Such maintenance products have a wide variety of consumer uses, including but not limited to: household (such as use in general DIY), bike, automotive, and industrial applications (such as use in agriculture).
17. WD-40 UK has acknowledged that the Parties overlap to a small extent in the bike sector, stating that WD-40 UK has some, albeit in its view trivial, sales in the bike sector where GT85 is focussed. The Parties did not provide share of supply figures for the segments where they overlap, and during its investigation the CMA did not receive reliable share of supply data from third

¹ With the exception of certain specified excluded assets.

² See section 23(5) of the Act and *Mergers: Guidance on the CMA's jurisdiction and procedure* (CMA2), January 2014, paragraph 4.56.

parties with regard to the overall supply of multi-purpose maintenance products.

18. However, WD-40 UK submitted an internal document³ reporting results from consumer research⁴ in respect of the supply of multi-purpose lubricants for use at home, which segments such use by consumers based on their interest in DIY. This estimates that WD-40's UK share of supply in the segment of 'frequent multi-taskers' interested in DIY is 66%, and GT85's share is 2.5%, giving the Parties a combined share of supply of 68.5%. Although this is the only DIY segment in which the document identifies GT85 as a competitor, in the other DIY segments – 'infrequent multi-taskers', 'infrequent low involvement' and 'frequent low involvement' – WD-40 cites its own shares as being considerably more than 25%; ranging from 73% to 85%. This strongly indicates that the share of supply test is met for the overall supply of multi-purpose lubricants for DIY uses in the UK.
19. The CMA also asked third parties whether in their view the Parties have a combined share of supply of more than 25% in the supply of any type of good or service in the UK. One competitor submitted that, based on discussions within the trade, including discussions with a large retailer that stocks products from both Parties, it believed the Parties to have a combined share of around 75% in the supply of water-dispersant aerosol lubricants. Separately, with regard to the area of bicycle maintenance, one major UK retailer and one distributor were of the view that the Parties overlapped, the former submitting that the Parties were likely to have a combined share of supply of more than 25% of cycle-care products sold in its stores, and the latter noting that GT85 accounted for more than 25% of its sales of bike maintenance products.
20. These third party comments regarding the bike sector are supported by the outcome of the CMA's investigation. With regard to the wholesale supply of multi-purpose maintenance products sold for bike use (ie through bike retailers/departments⁵ or bike distributors), the CMA estimates that, based on submissions from the Parties and third parties, the Parties may have a combined share of supply of more than 25% (with an increment).⁶
21. The CMA therefore considers that it is or may be the case that the share of supply test in section 23 of the Act is met, on the basis of the evidence set out above, namely: (i) estimates contained in WD-40 UK internal documents of

³ WD-40 Company 'UK Business Planning' presentation dated May 2010.

⁴ The results from the consumer research are also reproduced in the Appendix of the WD-40 Company 'UK Business Plan – 2013' presentation.

⁵ Including bike themed promotions.

⁶ This share of supply estimate is based on estimates the CMA received from the Parties and third parties throughout its investigation regarding the proportion of sales revenues of multi-purpose maintenance products attributable to sales through bike retailers/departments and bike distributors, including bike themed promotions.

the Parties' shares of supply of multi-purpose lubricants for DIY uses in the UK; (ii) third party comments on whether in their view the Parties have a combined share of supply of more than 25% in the supply of water-dispersant aerosol lubricants and/or cycle care products in the UK; and (iii) the CMA's estimates of the Parties' combined share of supply with regard to the wholesale supply of multi-purpose maintenance products sold for bike use (ie through bike retailers/ departments or bike distributors).

22. The Merger completed on 4 September 2014 and was made public on the same day. The four-month deadline for a decision under section 24 of the Act is 6 February 2015, following extension under section 25(2) of the Act.
23. The CMA therefore believes that it is or may be the case that a relevant merger situation has been created.
24. The initial period for consideration of the Merger under section 34ZA(3) of the Act commenced on 5 December 2014 and the statutory 40 working day deadline for a decision is therefore 3 February 2015.

Counterfactual

25. The CMA assesses a merger's impact relative to the situation that would prevail absent the merger (ie the counterfactual). For completed mergers the CMA generally adopts the pre-merger conditions of competition as the counterfactual against which to assess the impact of the merger. However, the CMA will assess the merger against an alternative counterfactual where, based on the evidence available to it, it considers that, in the absence of the merger, the prospect of these conditions continuing is not realistic, or there is a realistic prospect of a counterfactual that is more competitive than these conditions as between the merging parties.⁷
26. In this case, there is no evidence supporting a different counterfactual, and WD-40 UK has not put forward arguments in this respect. Therefore, the CMA considers the pre-Merger conditions of competition to be the relevant counterfactual in this case.

Frame of reference

27. The CMA considers that market definition provides a framework for assessing the competitive effects of a merger and involves an element of judgement. The boundaries of the market do not determine the outcome of the analysis of

⁷ [Merger Assessment Guidelines](#) (OFT1254/CC2), September 2010, paragraph 4.3.5 et seq. The [Merger Assessment Guidelines](#) have been adopted by the CMA (see [Mergers: Guidance on the CMA's jurisdiction and procedure](#), Annex D).

the competitive effects of the merger, as it is recognised that there can be constraints on merger parties from outside the relevant market, segmentation within the relevant market, or other ways in which some constraints are more important than others. The CMA will take these factors into account in its competitive assessment.⁸

Multi-purpose maintenance products

28. The Parties overlap in the wholesale supply of standalone maintenance products fulfilling multiple maintenance functions, such as cleaning, removing rust, degreasing, penetrating, polishing, lubricating, protecting and displacing water (referred to as ‘multi-purpose maintenance products’). These products can be marketed for one or multiple end-uses.
29. The CMA has therefore considered whether the frame of reference should be delineated by end-use.

Delineation by end-use

30. On the demand side, the CMA considers that the effects of the merger depend on the alternatives (ie outside options) available to the parties’ immediate customers (ie retailers and distributors). In turn, the extent to which other products are good alternatives for these immediate customers depends on the preferences of their final customers. Multi-purpose maintenance products are differentiated and, although certain maintenance products may principally compete within a particular end-use segment, there may be some demand-side substitution between products (principally) intended for different uses.
31. On the supply side, WD-40 UK submitted that the Parties face a different competitor set depending on whether they are selling maintenance products for bike, automotive or industrial uses. This remains the case even when the same product is being supplied for different end uses. The CMA considers that this assertion is consistent with other evidence received during its investigation.
32. Consequently, the CMA considers that, on a cautious basis, it is appropriate to segment the wholesale supply of multi-purpose maintenance products by end-use.

⁸ [Merger Assessment Guidelines](#) (OFT1254/CC2), September 2010, paragraph 5.2.2. The *Merger Assessment Guidelines* were adopted by the CMA (see [Mergers: Guidance on the CMA’s jurisdiction and procedure](#), Annex D).

33. The CMA's assessment has focused on those end-uses that, according to data received from WD-40 UK, account for the large majority of GT85's revenues⁹ and that therefore appeared most likely to be affected by the Merger, namely: bike, automotive and industrial uses.
34. The CMA acknowledges that product differentiation (by end-use) can make defining the precise boundaries of the frame of reference difficult and has therefore considered the competitive constraints from products (principally) intended for different end-uses in the competitive assessment, where appropriate.
35. For instance, with regard to bike uses, the CMA considered it was appropriate to assess the wholesale supply of products on the basis of the supply to bike retailers (or retailers with bike departments/promotions) and bike accessory distributors. The CMA acknowledges that some bike users purchase multi-purpose maintenance products via other outlets and the constraint on the Parties' behaviour from potential switching is taken into account within the competitive assessment.

Bike uses

36. Survey evidence from WD-40 UK indicated that within the bike user segment, some users use multi-purpose maintenance products for a variety of bike maintenance tasks,¹⁰ but there are also many function-specific products, marketed as being appropriate to fulfil a specific function (such as lubrication), that bike users can use to carry out those maintenance tasks.¹¹ Such function-specific products may be sold as part of a wider themed product range, such as the 'WD-40 Bike' range that WD-40 has recently launched.¹² Internal documentary evidence submitted by WD-40 UK indicates that bike users may

⁹ Data provided by WD-40 UK indicates that in financial year 2013, 61% of GT85's revenues were attributed to the 'bike' sales channel, 13% to the 'automotive' sales channel and 9% to 'industry'. Although the CMA considers that there are ambiguities with regard to how these sales revenues have been segmented into separate channels, this data is broadly consistent with other evidence the CMA has received during its investigation.

¹⁰ A WD-40 'UK Cycling – Market Mapping' presentation, prepared in June 2013, presents survey results from 360 bike users who reported using 'multi-purpose or specialist lubricants' on a multitude of areas of their bike. They reported most frequently using these to maintain their chains (86), followed by the gear and cables (69) and wheels and brakes (56). Some respondents referred to specific tasks rather than an area of the bike, with lubrication the highest reported reason (33%) for using them. Other reported reasons were: cleaning, penetration, protection and removing damp.

¹¹ Ipsos MORI ('Ipsos') conducted a Bike Usage & Attitudes study in 2013, through an online self-completion survey. In the UK, 200 bike users described as 'maintenance users' and 50 bike users described as 'non maintenance users' were surveyed. The findings of this survey are set out in the presentation 'Bike U&A – UK Local Market Report' dated June 2013 (the 'Bike U&A Report'). The Bike U&A Report indicates that the range of function-specific products that a cyclist may use on their bike is very broad, including: penetrants, silicone lubricants, wet chain lubricants, dry chain lubricants, ceramic chain lubricants, lithium greases, copper greases, disk brake cleaners, chain cleaners, suspension oils, silicone shines, wax polishes, anti-corrosion sprays and frame protectants.

¹² The 'WD-40 Bike' product range consists of five bicycle maintenance products, including wet and dry chain lubricants, a heavy-duty degreaser, foaming wash and frame protectant, and has only been available in the UK since September 2014. It is currently only being sold by one distributor in the UK.

substitute between multi-purpose and function-specific maintenance products.¹³ GT85 does not supply function-specific maintenance products.

37. The CMA considers that, from a demand-side perspective, some bike users may view multi-purpose and function-specific products as substitutes given that both may be used to fulfil the same function. For instance, a bike user may be willing to substitute a dedicated lubricant for a multi-purpose product with lubricant properties.
38. The CMA has therefore considered a frame of reference that includes function-specific products and multi-purpose products for bike uses together, as well as considering multi-purpose products separately.

Other end-uses

39. The CMA has not found it necessary to consider whether the supply of multi-purpose maintenance products for any other type of end use constitutes a relevant frame of reference.
40. As noted above, data provided by WD-40 UK indicated that GT85's sales attributable to the end-uses considered above, namely bike uses, automotive uses and industrial uses, account for the large majority of GT85's revenues. GT85 sales to the other sales channels (as defined by GT85) were less than £50,000 per sales channel in financial year 2013. The CMA therefore considers that competition issues as a result of the Merger would not be realistic in relation to any other credible end-use, as GT85's share of supply to any other end-use segment would likely be so low that any increment in the Parties' market shares would be negligible.

Geographic scope

41. WD-40 UK submitted that the narrowest geographic market is national in scope, and that conditions do not vary by region. WD-40 UK stated that it is not possible to analyse local or regional markets, as multiple customers are supplied to central locations, and goods are then dispatched by the customers to their stores nationwide.

¹³ The Bike U&A Report indicates that different bike users used multi-purpose maintenance products and function-specific products to fulfil the same or a similar maintenance task. For instance, bike users that carry out maintenance tasks on their bikes themselves were asked what type of lubrication, greasing, cleaning and protecting products they tended to use for maintenance tasks with respect to nine areas of their bike. The results of this survey showed that some bike users use multi-purpose maintenance products and others use function-specific products. For instance, 36% reported using a 'multi-purpose lubricant' for chain maintenance and 24% reported using a 'wet chain lubricant'. A WD-40 Company 'UK Business Plan – 2014' presentation also indicates that WD-40 was concerned end-users might switch from purchasing its existing WD-40 and 3-IN-ONE products to a new range of WD-40 Bike maintenance products (which include function-specific products).

42. WD-40 UK supplies maintenance products to customers located across the UK. It delivers these products to central warehouses of mass retailers, to small wholesalers and to cash and carry businesses.
43. GT85 generally sold its maintenance products through wholesalers, although some products were sold directly to end users.
44. The CMA has not received evidence indicating that competition in the wholesale supply of maintenance products should be assessed on the basis of a geographic frame of reference that is broader than national, or that competition materially varied at a local or regional level. The CMA therefore considers that the geographic frame of reference for this Merger is UK-wide.

Conclusion on frame of reference

45. For the reasons set out above, on a cautious basis and without reaching a conclusion on the product frame of reference, the CMA has considered the impact of the Merger in the following frames of reference:
 - The wholesale supply of multi-purpose maintenance products for:
 - bike uses in the UK;
 - automotive uses in the UK; and
 - industrial uses in the UK.
 - In addition, the wholesale supply of multi-purpose and function-specific maintenance products (taken together) for bike uses in the UK.

Competitive assessment

Horizontal unilateral effects

46. Horizontal unilateral effects may arise when one firm merges with a competitor that previously provided a competitive constraint, allowing the merged firm profitably to raise prices or degrade quality on its own and without needing to coordinate with its rivals.¹⁴ Horizontal unilateral effects are more likely when the merger parties are close competitors. The CMA assessed whether it is or may be the case that the Merger has resulted, or may be expected to result, in a substantial lessening of competition in relation

¹⁴ *Merger Assessment Guidelines*, from paragraph 5.4.1.

to unilateral horizontal effects in the wholesale supply of maintenance products in the UK (see paragraph 45).

Bike use

Shares of supply

47. For bike uses, based on figures provided by the Parties and third parties, the CMA estimates that the Parties have a combined share of supply of around [65–75]% in the wholesale supply of multi-purpose maintenance products sold for bike uses (ie through bike retailers/departments or bike distributors¹⁵), with a small increment of [0–10]%.¹⁶
48. These figures indicate that the Parties' key competitors in the area of multi-purpose maintenance products supplied for bike uses are Muc-Off [X] and Weldtite [X].
49. The CMA estimates that the Parties have a combined share of supply of around [10–20]% (increment [0–10]%) in the wholesale supply of multi-purpose maintenance products and function specific maintenance products taken together sold for bike uses.¹⁷

Closeness of competition and competitive constraints – multi-purpose maintenance products

50. WD-40 UK submitted that the Parties are not close competitors in the bike sales channel as WD-40 UK has no meaningful revenues in the bike channel, where GT85's sales are concentrated.
51. WD-40 UK also submitted that there are many competing bicycle maintenance brands, including: Muc-Off, Finish Line, Bike Hut, Fenwicks, White Lightning, Weldtite's TF2, Motorex, Juice Lubes, Morgan Blue, Purple Harry, Shimano and Silkolene.

¹⁵ Including bike themed promotions.

¹⁶ These share of supply figures are based on estimates from the Parties and third parties regarding the proportion of sales revenues of multi-purpose maintenance products attributable to sales through bike retailers/departments and bike distributors, including bike themed promotions. The CMA notes that there was some ambiguity over the Parties' and third parties' methods of attributing sales revenues to bike channels in this manner. The CMA therefore considers that these share of supply estimates are indicative only, to be considered alongside all other evidence.

¹⁷ This share of supply estimate includes all revenue figures that the CMA received for both multi-purpose maintenance products for bike uses and revenue figures received for bike product ranges. In addition to the issues raised in the above footnote, which also apply to revenues received for bike product ranges, the CMA notes that competitor product ranges may overlap with the WD-40 Bike range only to a limited extent. Therefore the CMA considers that these share of supply estimates are indicative only, to be considered alongside all other evidence.

52. WD-40 UK's internal documents provide mixed evidence on closeness of competition between the Parties.
53. For example, a survey¹⁸ conducted in 2013 of 'DIY doers' who had stopped using WD-40 and moved to another brand showed that 8% of those individuals moved to GT85. Once WD-40 UK's own brand of 3-IN-ONE had been removed from the analysis, the survey showed that around 11% had moved to GT85 with the remaining customers switching to other brands, not purchasing a general maintenance product or responding that they could not remember which brand they purchased. Although the sample size was small (51 respondents) the survey is corroborated by other survey evidence where the sample size was much larger. For example, a survey of 194 people asking what brand of maintenance product they would have preferred to have used instead of the one they ended up using, showed that relative to WD-40, bike maintenance users would prefer Shimano to GT85. Bike maintenance users also showed a similar level of preference for Muc-Off as they showed for GT85, relative to WD-40.¹⁹ The CMA considers that this is evidence that the Parties are not close competitors.
54. The CMA considers that the Parties' internal documents support submissions received by the CMA from third party customers who said that the Parties are not close competitors. They told the CMA that there are a significant number of multi-purpose maintenance products sold to bike customers that are in direct competition with GT85, which third parties generally viewed as having a stronger presence than WD-40 in the bicycle segment.
55. In particular, the CMA received a substantial number of third party views stating that GT85 has a strong market position with respect to sales for bike uses. Several customers described GT85 as being a renowned bicycle product. By contrast, a number of third parties suggested that WD-40 was not a strong bike brand.
56. Two large retailers submitted that although they stock both the WD-40 multi-purpose product and GT85, they do not consider these products are in competition. One of these retailers explained that while both WD-40 and GT85 are leading brands, the products are located in different parts of its store catering to different customer demands. A further retailer similarly stated that it sells WD-40 and GT85 in different themed promotions.

¹⁸ WD-40 Company's 'Brand Health Tracker – UK Overview – May 2011' presentation reports results of a survey of 1000 'DIY doers' carried out by Synovate. This identified 51 respondents that had stopped using WD-40 and moved to another brand.

¹⁹ This survey, reported in the Bike U&A Report, asked respondents what brand of maintenance product they would have preferred to have used instead of the one they ended up using. The respondents were 194 individuals described as maintenance users who use or consider maintenance products.

57. A distributor of bike accessories, for whom WD-40 and GT85 were amongst its top-selling maintenance aerosols, submitted that there is no real direct competition between the WD-40 multi-purpose product and GT85 as the former is a premium product whereas the latter is a generic low cost item.
58. The majority of customers did not express concerns about the Merger. Although two customers raised concerns regarding the effects of the change of ownership of GT85, these concerns regarded the management and running of GT85 post-Merger, and did not relate to any lessening of competition between the Parties.
59. One retailer, who stocks both GT85 and WD-40 products and whose lubricants offering is based on these two product lines, was concerned that its negotiating strength in respect of WD-40 UK has been lost by the Merger.
60. However, this retailer also acknowledged that they had previously sold other, cheaper lubricants on an ad-hoc basis, which had sold well and taken sales from WD-40 and GT85, and that they may consider their options post-Merger, to see if they can strengthen their position. This retailer also mentioned three other retailers that, in their view, offered a similar scope of products in this area. Two of these three retailers responded to CMA enquiries, and neither raised concerns about the Merger.
61. One competitor submitted that the Parties will be able to run lines as loss-leaders in order to win business, then to raise prices. Two competitors raised the concern that the merger could result in less competition, and two competitors noted that the Merger could lead to higher prices.
62. However, third party competitors also generally acknowledged that competition between GT85 and WD-40 was limited. Three competitors indicated that WD-40 was not generally used by bike enthusiasts, although non-enthusiast or day-to-day bike users might use WD-40.
63. According to third parties, Muc-Off appears to be the most significant alternative product to GT85, and is stocked by five of the eight bike customers that the CMA received submissions from. Other competing products stocked by distributors and retailers include Weldtite's TF2 product, which was stocked by each of the three cycle distributors that the CMA received submissions from. Although one large retailer that stocked GT85 and Muc-Off submitted that it did not think other brands were suitable alternatives to these, a different retailer submitted that it could consider stocking Muc-Off or TF2 as an alternative to GT85.
64. In addition to Muc-Off and Weldtite's TF2 product, alternative products stocked by customers included: Silkolene; Motorex; Juice Lubes; Fenwicks;

and Green Oil. One distributor of bicycle accessories submitted that there are around 15 brands with similar multi-purpose products to GT85.

Closeness of competition and competitive constraints – multi-purpose and function-specific maintenance products

65. WD-40 has recently launched the WD-40 Bike range, consisting of five function-specific bike maintenance products. The CMA has considered the extent to which this range may compete against GT85 overall across the range and on a product-by-product basis.
66. WD-40 UK submitted, with regard to the WD-40 Bike range, that GT85 does not compete head-on with this product range as the latter is positioned differently in a number of respects. In particular, WD-40 UK submitted that the WD-40 Bike range consists of different, more specialist products to GT85, and that it sees GT85 as being complementary to the WD-40 Bike range.
67. Third party views were mixed as to the closeness of competition between the WD-40 Bike range and GT85. Two competitors submitted that the WD-40 Bike range and GT85 would compete as there was likely to be a product within the WD-40 Bike range that competes directly with GT85.
68. However, although one customer submitted that in its view GT85 and the WD-40 Bike range were close competitors, four other customers indicated that competition between these products was limited. Reasons given included that WD-40 Bike is a range as opposed to an all-purpose product, and the view that the WD-40 Bike range and GT85 could be stocked at the same time without sales from one occurring at the expense of sales from the other.
69. Third parties also submitted that there are a number of alternative bike maintenance product ranges such as those sold by: Muc-Off, Motorex, Weldtite, Finish Line, Juice Lubes, Green Oil, Motorex, Purple Harry and Fenwicks.
70. A competitor was concerned that WD-40 will leverage the strong position of GT85 in terms of sales to distributors and bike shops in order to force retailers to stock the WD-40 Bike range. However, the CMA notes that no customer raised this as a concern, and that on the basis of all the evidence collected in this case, GT85 does not seem to possess sufficient market power in the bike segment to engage in such a tying strategy. The factors taken into account in reaching this assessment included that there are alternative high profile brands that may be desirable to customers, and that WD-40 does not have a strong reputation among those bike users typically served by the Parties' bike customers.

Conclusion on horizontal unilateral effects – bike uses

71. Based on the above evidence the CMA has found that the Merger does not give rise to a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects in relation to the wholesale supply of multi-purpose maintenance products, or of multi-purpose and function-specific maintenance products (taken together), for bike uses in the UK.

Automotive uses and industrial uses

72. WD-40 has a strong position in the supply of multi-purpose maintenance products for automotive uses, particularly within the retail market. However, GT85 appears to be a weak constraint in this area, with only 13% of its approximately £1.1million sales being made into the ‘automotive’ sales channel, according to data provided by WD-40 UK. Third parties did not consider that WD-40 and GT85 were close competitors and third party customers stocked alternative branded or own-brand products.
73. Retailers and distributors raised no significant concerns regarding the impact of the Merger with respect to the automotive market. A competitor in the automotive sector submitted that the Merger will allow WD-40 to achieve further economies of scale, allowing them to price more aggressively and to increase their share in the aerosol spray market. The CMA notes that lowering prices in order to gain customers would be a pro-competitive outcome.²⁰
74. Industrial retailers’ and distributors’ responses were mixed with regard to how closely the Parties compete in the supply of multi-purpose maintenance products for industrial (or trade) uses. However, each named alternative suppliers and none raised significant concerns.
75. The CMA therefore has found that the Merger does not give rise to a realistic prospect of a substantial lessening of competition as a result of horizontal unilateral effects in relation to the supply of multi-purpose maintenance products for automotive uses or for industrial uses.

Barriers to entry and expansion

76. Entry, or expansion of existing firms, can mitigate the initial effect of a merger on competition, and in some cases may mean that there is no substantial lessening of competition. In assessing whether entry or expansion might

²⁰ This competitor also asserted that WD-40 is offering retailers incentives to stock their products in order to lock out competitors. However, the CMA notes that third parties have indicated that, in practice, retailers stock alternative branded and own-brand products.

prevent a substantial lessening of competition, the CMA considers whether such entry or expansion would be timely, likely and sufficient.²¹

77. However, the CMA has not had to conclude on barriers to entry or expansion as the Merger does not give rise to competition concerns on any basis.

Third party views

78. The CMA contacted customers (distributors and retailers) and competitors of the Parties. Third party comments have been taken into account where appropriate in the competitive assessment above.

Decision

79. Based on the evidence set out above, the CMA does not believe that it is or may be the case that the Merger has resulted, or may be expected to result, in a substantial lessening of competition within a market or markets in the UK.

80. The Merger will therefore **not be referred** under section 22(1) of the Act.

Jonathan Parker
Director of Mergers
Competition and Markets Authority
3 February 2015

²¹ *Merger Assessment Guidelines*, from paragraph 5.8.1.